# Practice workbook · Technology in accounting: benefits, drawbacks and decisions

Benefits of accounting software and spreadsheets, set against cost, training and data risks when a trader is deciding whether to computerise or outsource.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-ENV-05

# 1. Question 17 · part c · 5 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

**17** (a) Explain how the preparation of a trade receivables control account can help to prevent fraud.

**(2)**

Rio sells goods on credit to Paulo. He also purchases goods from Paulo on credit.

The two businesses have an agreement that they will always settle their accounts on the last day of each month.

During the month of March 2025, the following transactions took place between them.

| March | Transaction |
|---|---|
| 2 | Rio sold goods on credit to Paulo, $580 |
| 18 | Rio purchased goods on credit from Paulo, $690 |
| 21 | Rio returned goods to Paulo, $80 |
| 28 | Paulo returned goods to Rio, $110 |
| 31 | Rio set off the balance on the two accounts and a payment was made to settle the remaining balance. |

(b) Prepare, for the month ended 31 March 2025, in the books of Rio, the account of Paulo in **both** the receivables ledger and the payables ledger.

**(8)**

**Receivables Ledger Paulo Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
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# 1. Question 17 · part c · 5 marks

2025 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part c only.

**Payables Ledger Paulo Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
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(c) Advise Rio whether he should start using spreadsheets to manage his receivables and payables.

(5)

**(Total for Question 17 = 15 marks)**

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## 1. Question 17 · part c · 5 marks · Working and answer

Working and answer

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## 2. Question 17 · part c · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

**17** (a) Prepare the trial balance from the list of balances.

**(8)**

**Trial balance at 31 March 2020**

| Account | Balance $ | Trial balance | |
|---|---|---|---|
| | | Debit $ | Credit $ |
| Bank loan | 2 000 | | |
| Bank overdraft | 160 | | |
| Carriage outwards | 650 | | |
| Discount received | 190 | | |
| Drawings | 5 130 | | |
| Equity | 19 500 | | |
| Fixtures and fittings<br>– cost<br>– provision for depreciation | <br>24 400<br>6 350 | | |
| General expenses | 16 870 | | |
| Inventory at 1 April 2019 | 18 750 | | |
| Provision for irrecoverable debts | 300 | | |
| Purchases | 42 630 | | |
| Returns inwards | 2 580 | | |
| Revenue | 88 320 | | |
| Trade payables ledger control account | 5 230 | | |
| Trade receivables ledger control account | 11 040 | | |
| Total | | | |

(b) State **each** type of error.

**(2)**

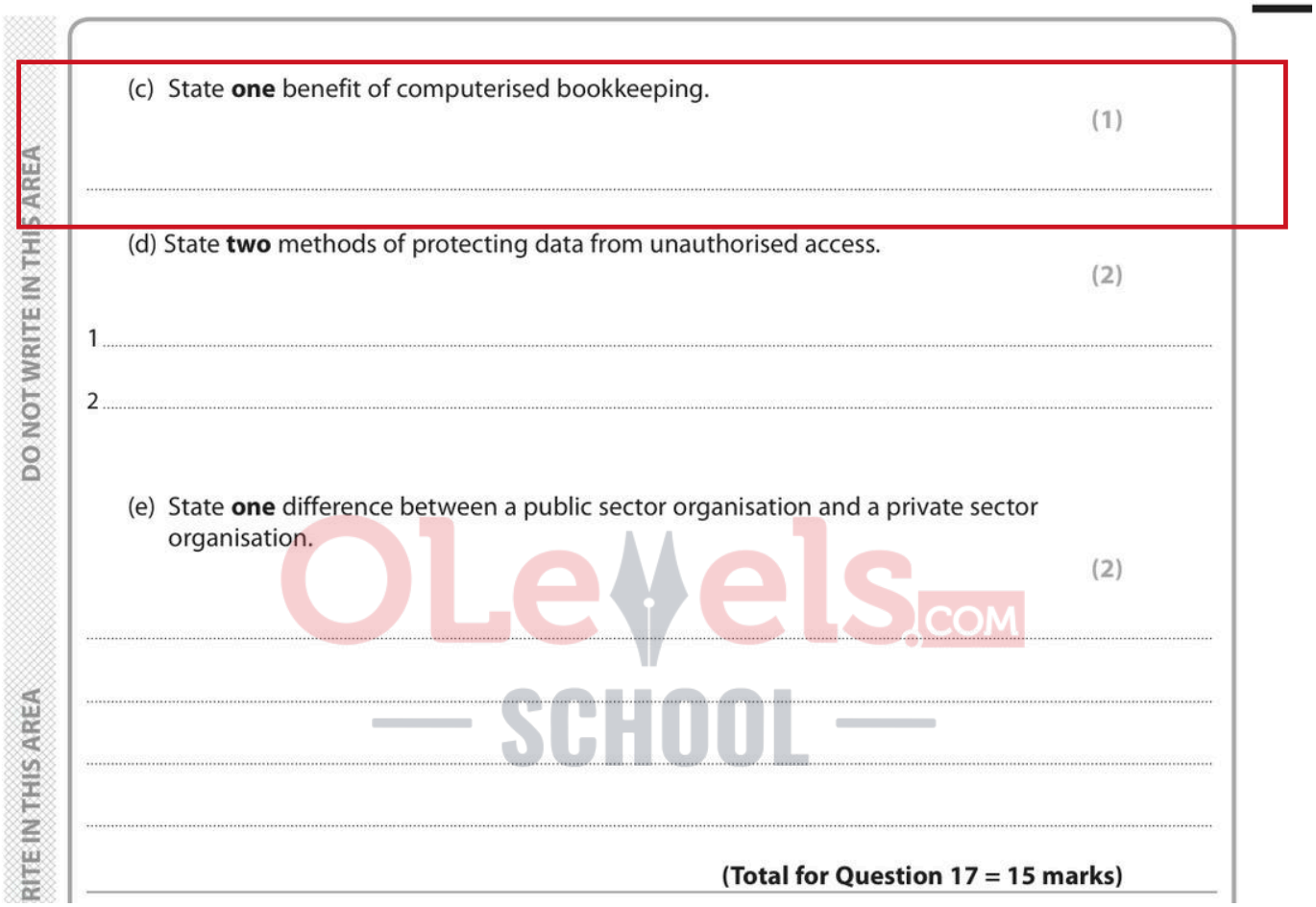
| Error | Type of error |
|---|---|
| Purchase of a motor vehicle had been entered in the motor expenses account. | |
| Wages paid had been posted to the general expenses account. | |

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## 2. Question 17 · part c · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.



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(c) State **one** benefit of computerised bookkeeping.

(1)

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(d) State **two** methods of protecting data from unauthorised access.

(2)

1 .....

2 .....

(e) State **one** difference between a public sector organisation and a private sector organisation.

(2)

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**(Total for Question 17 = 15 marks)**

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Working and answer

## 3. Question 18 · part a · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part a only.

**18** (a) State **two** benefits of using technology in accounting.

(2)

1 .....

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2 .....

.....

(b) Complete the table, indicating with a tick (✓) how **each** item would be classified when purchasing hardware.

(3)

| Item | Capital expenditure | Revenue expenditure |
|---|---|---|
| Installation cost | | |
| Delivery cost | | |
| Consumables | | |

A trader received a bank statement on 31 March 2020 showing a credit balance of $791. On the same date the cash book showed a debit balance of $1210.

The following had not been entered in the cash book:

- a standing order for insurance, $345
- bank interest received, $15
- a dishonoured cheque from Jones, $265

(c) Update the cash book showing the adjusted balance at 31 March 2020.

(4)

**Cash book – bank column**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
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## 3. Question 18 · part a · 2 marks · Working and answer

Working and answer

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# 4. Question 15 · part d.i · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d.i only.

**15** (a) State **two** reasons for offering a trade discount.

**(2)**

1 .....

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2 .....

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(b) State **two** reasons why a credit customer's account may have a credit balance.

**(2)**

1 .....

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2 .....

.....

Kirk maintains a full set of accounting books and offers credit customers a 5% trade discount on orders over $1 000

During January 2023 the following transactions took place between Kirk and Bella.

| January 2023 | Transaction |
|---|---|
| 2 | Cheque received, $3 500, in full settlement of the account balance on 1 January 2023 of $3 720 |
| 9 | Sold goods, list price $880 |
| 17 | Returned goods sold on 9 January 2023, $170 |
| 28 | Sold goods, list price $1 300 |

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# 4. Question 15 · part d.i · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d.i only.

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(c) Prepare the account of Bella for the month of January 2023. Balance the account on 31 January 2023 and bring the balance down on 1 February 2023.

(7)

**Bella Account**

| Date 2023 | Details | $ | Date 2023 | Details | $ |
|---|---|---|---|---|---|
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(d) (i) State **two** benefits of using accounting software.

(2)

1 .....

2 .....

(ii) State **two** methods of protecting data when using accounting software.

(2)

1 .....

2 .....

**(Total for Question 15 = 15 marks)**

## 4. Question 15 · part d.i · 2 marks · Working and answer

Working and answer

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## 5. Question 13 · part b · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

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**13** (a) State **two** stakeholders that may be interested in the financial statements of a business.

**(2)**

1 .....

2 .....

(b) State **two** benefits to a business of using a computerised accounting package.

**(2)**

1 .....

2 .....

(c) State **one** characteristic of a public sector organisation.

**(1)**

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**(Total for Question 13 = 5 marks)**

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Working and answer

## 6. Question 17 · part c · 5 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

**17** (a) State **two** purposes of a suspense account.

(2)

1 .....

2 .....

(b) Complete the following table for each scenario.

(6)

| Scenario | Type of error | Account to be debited | Account to be credited |
|---|---|---|---|
| A payment received from Jon, $200, was entered in Ron's account | | | |
| A cheque, $376, for wages was entered in the cashbook and the wages account as $367 | | | |

(c) Evaluate how the introduction of accounting software will improve the accuracy of a business's accounts.

(5)

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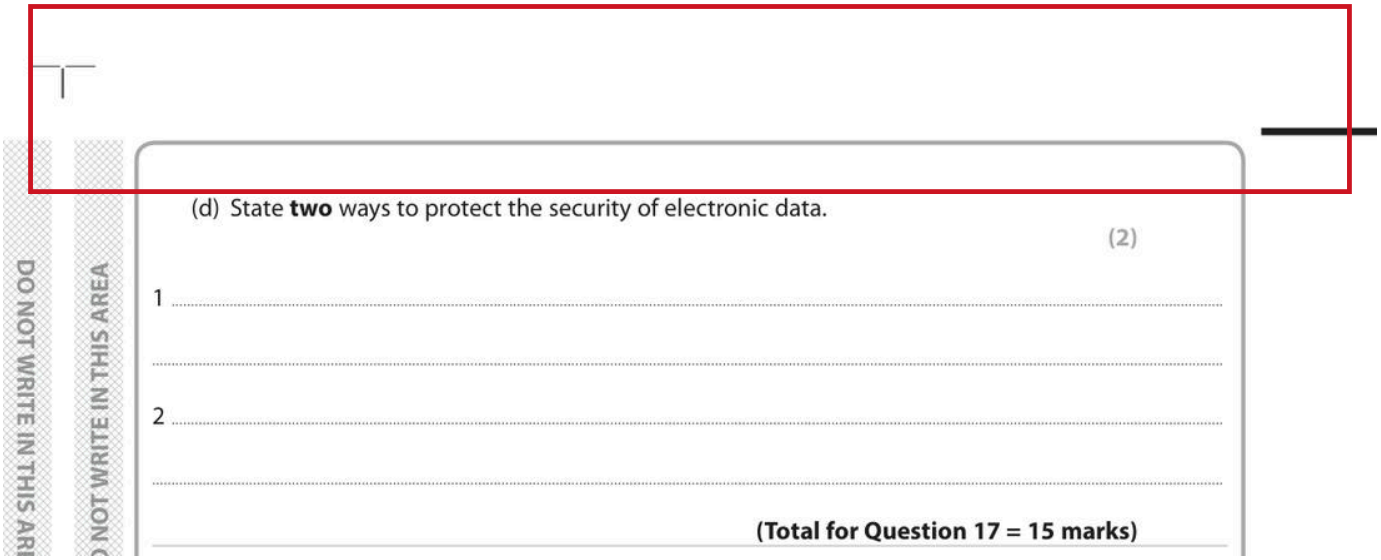
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## 6. Question 17 · part c · 5 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.



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(d) State **two** ways to protect the security of electronic data.

(2)

1 .....

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2 .....

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**(Total for Question 17 = 15 marks)**

Working and answer

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## 7. Question 18 · part c · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

**18** Nyat provided the following information at 1 January 2019

| Account | $ |
|---|---|
| Motor vehicles at cost | 48 000 |
| Motor vehicles provision for depreciation | 16 000 |

On 30 September 2019 Nyat sold a motor vehicle for $13 250 and received a cheque in full settlement. This motor vehicle had been purchased on 1 July 2018 for $16 400

Nyat's policy is to depreciate motor vehicles at 25% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of sale.

(a) Prepare the provision for depreciation – motor vehicles account for the year ended 31 December 2019 showing the transfer to the income statement. Balance the account at this date and bring the balance down at 1 January 2020.

(5)

**Provision for Depreciation – Motor Vehicles Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
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(b) Prepare the disposal account showing the transfer to the income statement.

(5)

**Disposal Account**

| Date | Details | $ | Date | Details | $ |
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## 7. Question 18 · part c · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

Nyat is considering purchasing a computerised accounting package.

(c) Evaluate the benefits of this proposal.

(5)

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**(Total for Question 18 = 15 marks)**

## 7. Question 18 · part c · 5 marks · Working and answer

Working and answer

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## 8. Question 18 · part c · 5 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

**18** Lucas provided the following information for the month ended 31 March 2022.

| | $ |
|---|---|
| Trade receivables ledger balances at 1 March 2022 | 48 220 |
| Trade receivables ledger balances at 31 March 2022 | 47 830 |
| Cash sales | 8 300 |
| Contra/set off to trade payables ledger | 270 |
| Credit customer's cheque dishonoured | 360 |
| Credit sales | 41 480 |
| Discount allowed | 410 |
| Discount received | 120 |
| Irrecoverable debts | 1 930 |
| Receipts from credit customers | 38 590 |
| Returns inwards | 1 030 |
| Returns outwards | 1 950 |

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## 8. Question 18 · part c · 5 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

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(a) Prepare the trade receivables ledger control account for the month ended 31 March 2022. Balance the account on this date and bring the balance down on 1 April 2022.

**(8)**

**Trade Receivables Ledger Control Account**

| Date 2022 | Details | $ | Date 2022 | Details | $ |
|---|---|---|---|---|---|
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(b) State **two** reasons why a customer's cheque may be dishonoured by the bank.

**(2)**

1 .....

2 .....

## 8. Question 18 · part c · 5 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

Lucas is proposing to change from a manual system to a computerised system of bookkeeping.

(c) Evaluate whether Lucas should proceed with this proposal.

(5)

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**(Total for Question 18 = 15 marks)**

## 8. Question 18 · part c · 5 marks · Working and answer

Working and answer

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## 9. Question 14 · part c · 5 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

**14** Mitch maintains a full set of accounting records. During the last week of March 2023, the following transactions took place.

| March 2023 | Transaction |
|---|---|
| 25 | Sold goods on credit to Jay, $570 |
| 29 | Goods returned by Jay, $85 |
| 30 | Sold goods on credit to Mateta, $316 |
| 31 | Sold goods for cash, $50 |

(a) Complete the following books of original entry for the month of March 2023.

**(5)**

**Sales Day Book**

| March 2023 | Customer | $ |
|---|---|---|
| 24 | Total to date | 3 194 |
| | | |
| | | |
| | | |
| | | |

**Sales Returns Day Book**

| March 2023 | Customer | $ |
|---|---|---|
| 24 | Total to date | 28 |
| | | |
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## 9. Question 14 · part c · 5 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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On 1 March 2023 the balance of the sales account was $71 730

(b) Prepare the sales account for the year ended 31 March 2023 showing the transfer to the income statement.

(5)

**Sales Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| | | | | | |
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## 9. Question 14 · part c · 5 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Mitch is considering introducing computerised accounting software.

(c) Evaluate whether he should proceed with this proposal.
You **must** include **both** advantages and disadvantages of the proposal.

**(5)**

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**(Total for Question 14 = 15 marks)**

## 9. Question 14 · part c · 5 marks · Working and answer

Working and answer

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# 10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

**2** Ed, a sole trader, provided the following information.

| **Balance at 1 May 2022** | **$** |
|---|---|
| Fixtures and fittings<br>– cost<br>– provision for depreciation | <br>123 500<br>55 575 |
| Bank | 1 680 |
| Inventory | 25 500 |
| Other payables | 1 400 |
| Trade receivables | 76 000 |
| Trade payables | 25 100 |

(a) Calculate the equity at 1 May 2022. **(3)**

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## 10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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| Balance at 30 April 2023 | $ |
|---|---|
| Fixtures and fittings<br>– cost<br>– provision for depreciation | <br>275 000<br>96 825 |
| Bank | 2 650 Cr |
| Bank loan (2030) | 75 000 |
| Inventory | 17 600 |
| Other payables | 1 900 |
| Trade receivables | 86 500 |
| Trade payables | 18 540 |

During the year ended 30 April 2023 Ed took cash of $6 090 for his own use.

Profit for the year ended 30 April 2023 was $45 670 before:

- writing off an irrecoverable debt of $1 000
- creating a provision for irrecoverable debts of 2% of trade receivables.

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## 10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

(b) Prepare the statement of financial position at 30 April 2023.

(17)

**Ed**
**Statement of Financial Position at 30 April 2023**

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## 10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

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## 10. Question 2 · part c · 5 marks

2023 NOV · Paper 02

Further practice · Attempt part c only.

Ed is considering investing in a computerised accounting package.

(c) Evaluate the **disadvantages** of this proposal.

**(5)**

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**(Total for Question 2 = 25 marks)**

## 10. Question 2 · part c · 5 marks · Working and answer

Working and answer

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## 11. Question 1 · part b · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

**1** Tang, a sole trader, provided the following balances at 31 December 2023.

| Account | $ |
|---|---|
| Business rates | 1 430 |
| Carriage inwards | 800 |
| Carriage outwards | 1 300 |
| Fixtures and fittings – cost | 10 000 |
| Fixtures and fittings – provision for depreciation | 2 000 |
| General expenses | 5 800 |
| Insurance | 3 600 |
| Irrecoverable debts | 650 |
| Motor expenses | 22 890 |
| Motor vehicles – cost | 35 000 |
| Motor vehicles – provision for depreciation | 5 000 |
| Opening inventory | 8 700 |
| Premises – cost | 85 000 |
| Purchases | 89 000 |
| Returns outwards | 4 256 |
| Revenue | 150 000 |

**Additional information**

- Closing inventory was valued at $9 345
- On 31 December 2023 business rates, $570, were owing and insurance, $600, was paid in advance.
- During the year Tang took goods costing $3 290 for his personal use.
- The purchase of a new motor vehicle, $15 000, has been included in the motor expenses account.
- Depreciation on non-current assets is to be provided for as follows:
  - fixtures and fittings, 10% per annum, using the straight line method
  - motor vehicles, 25% per annum, using the reducing balance method.
- A full year's depreciation is charged on assets held at the year end.

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## 11. Question 1 · part b · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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(a) Prepare the income statement for the year ended 31 December 2023.

**(20)**

**Tang**

**Income statement for the year ended 31 December 2023**

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## 11. Question 1 · part b · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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## 11. Question 1 · part b · 5 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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Tang is considering two options to improve his financial record keeping.

**Option 1:** employ a part-time bookkeeper.

**Option 2:** purchase an accounting software package.

(b) Discuss **both** options and advise Tang which option he should choose.

**(5)**

Option 1

Option 2

Advice

**(Total for Question 1 = 25 marks)**

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## 11. Question 1 · part b · 5 marks · Working and answer

Working and answer

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